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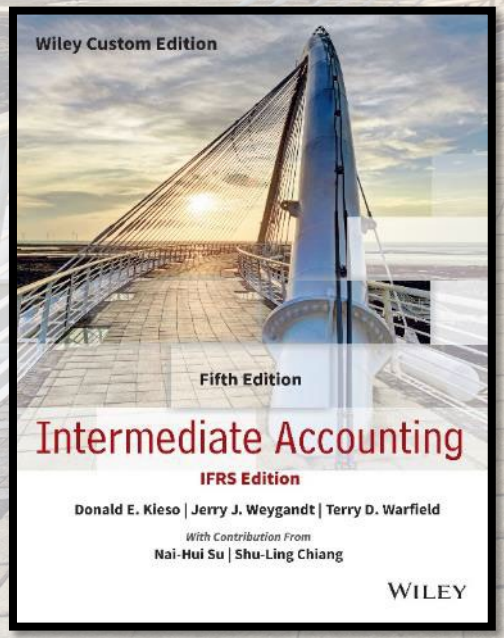
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Intermediate Accounting IFRS Edition

Kieso, Weygandt, Warfield

Fifth Edition

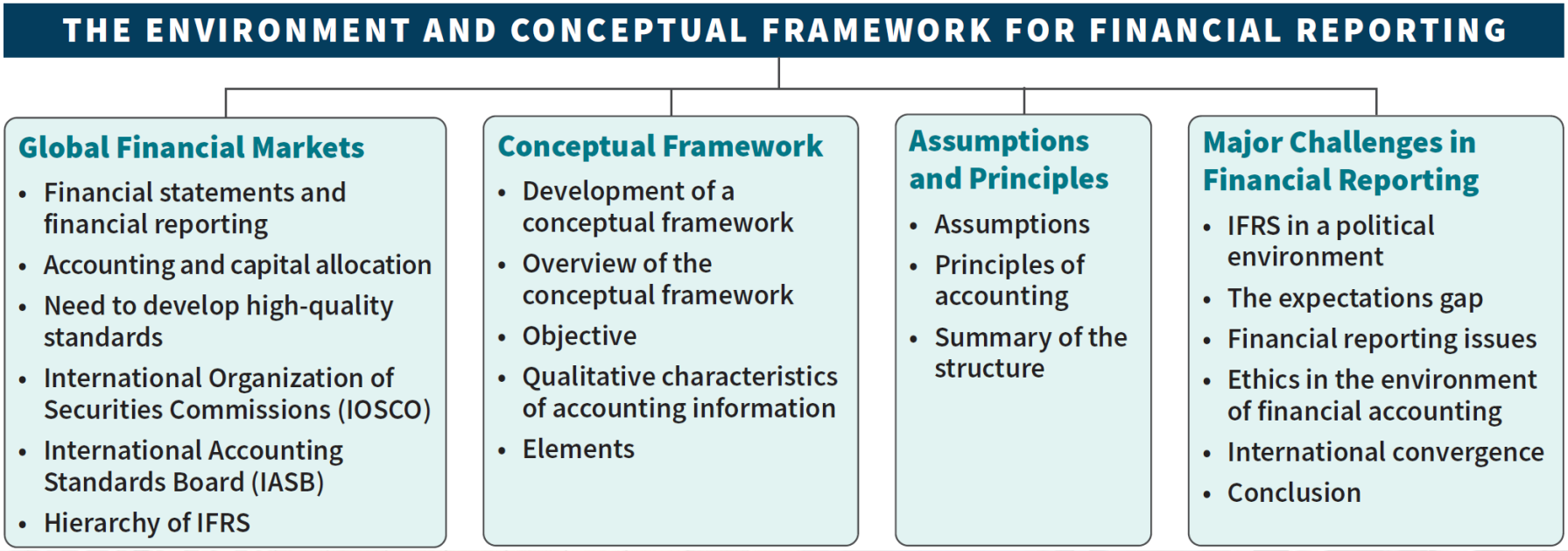
Chapter 1



The Environment and Conceptual Framework for Financial Reporting

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PREVIEW OF CHAPTER 1



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Global Markets

Financial Statements and Financial Reporting

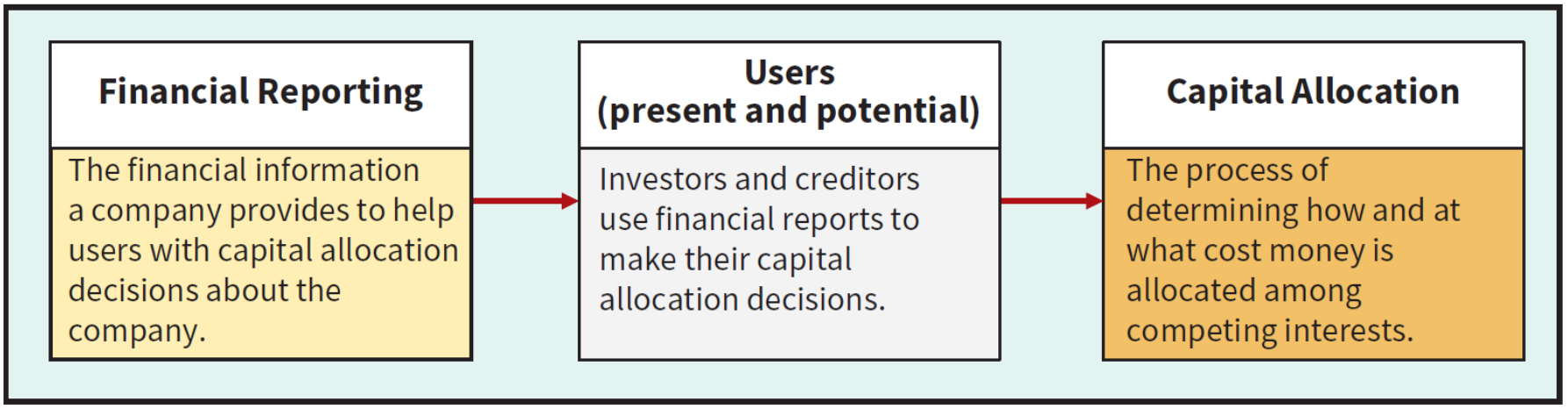
Essential characteristics of accounting are:

1. the **identification**, **measurement**, and **communication** of financial information about
2. economic entities to
3. interested parties.

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Global Markets

Capital Allocation Process



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High-Quality Standards

Globalization demands a single set of high-quality international accounting standards. Some elements:

1. Single set of high-quality accounting standards established by a single standard-setting body.
2. Consistency in application and interpretation.
3. Common disclosures.
4. Common high-quality auditing standards and practices.
5. Common approach to regulatory review and enforcement.
6. Education and training of market participants.
7. Common delivery systems (e.g., eXtensible Business Reporting Language—XBRL).
8. Common approach to corporate governance and legal frameworks around the world.

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Standard-Setting Organizations

International Accounting Standards Board (IASB)

Main international standard-setting organization:

- Issues **International Financial Reporting Standards (IFRS)**.
- Standards used on most foreign exchanges.
- IFRS used in over 149 countries.
- Two organizations that have a role in international standard-setting are the **International Organization of Securities Commissions** (IOSCO) and the IASB.

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Standard-Setting Organizations

International Organization of Securities Commissions (IOSCO)

- Does not set accounting standards.
- Dedicated to ensuring that global markets can operate in an efficient and effective basis.
- Supports the use of IFRS as the single set of international standards in cross-border offerings and listings.

- http://www.iosco.org/



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International Accounting Standards Board

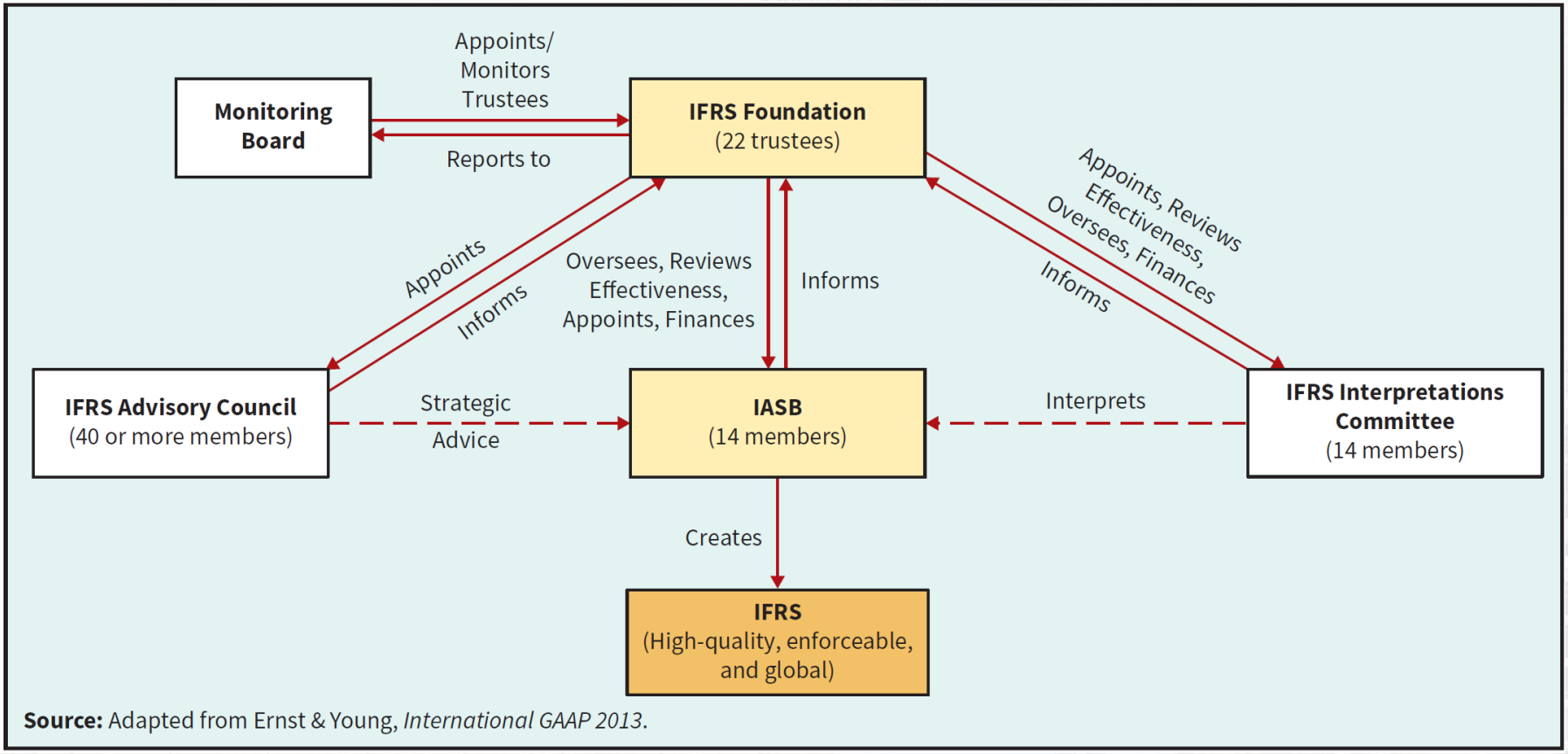
Composed of four organizations—

- IFRS Foundation
- International Accounting Standards Board (IASB)
- IFRS Advisory Council
- IFRS Interpretations Committee

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International Accounting Standards Board

International Standard-Setting Structure



Source: Adapted from Ernst & Young, *International GAAP 2013*.

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Due Process

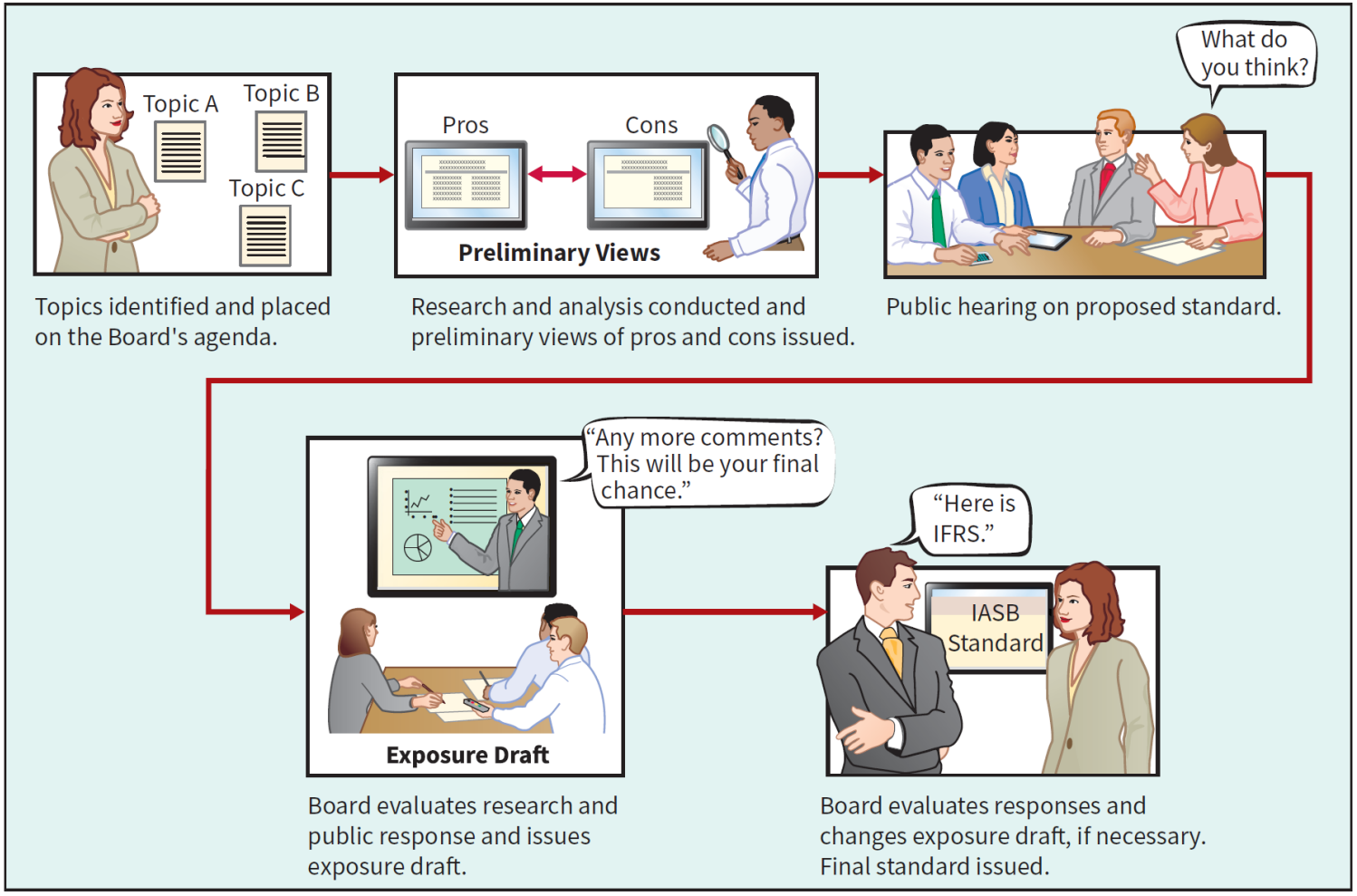
The IASB **due process** has the following elements:

1. Independent standard-setting board;
2. Thorough and systematic process for developing standards;
3. Engagement with investors, regulators, business leaders, and the global accountancy profession at every stage of the process; and
4. Collaborative efforts with the worldwide standard-setting community.

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International Accounting Standards Board

IASB Due Process



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International Accounting Standards Board

Types of Pronouncements

- International Financial Reporting Standards.
- Conceptual Framework for Financial Reporting.
- International Financial Reporting Standards Interpretations.

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Hierarchy of IFRS

Companies first look to:

1. International Financial Reporting Standards; International Financial Reporting Standards, International Accounting Standards (issued by the predecessor to the IASB), and IFR S interpretations originated by the IFRS Interpretations Committee (and its predecessor, the IAS Interpretations Committee);
2. The Conceptual Framework for Financial Reporting; and
3. Pronouncements of other standard-setting bodies that use a similar conceptual framework (e.g., U.S. GAAP).

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Development of a Conceptual Framework

The Conceptual Framework comprises eight chapters, as follows:

Chapter 1, The Objective of General Purpose Financial Statements.
Chapter 2, Qualitative Characteristics of Useful Financial Information.
Chapter 3, Financial Statements and the Reporting Entity.
Chapter 4, The Elements of Financial Statements.
Chapter 5, Recognition and Derecognition.
Chapter 6, Measurement.
Chapter 7, Presentation and Disclosure.
Chapter 8, Concepts of Capital and Capital Maintenance

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Overview of the Conceptual Framework

Three levels:

- **First Level** = Objective of Financial Reporting
- **Second Level** = Qualitative Characteristics and Elements of Financial Statements
- **Third Level** = Recognition, Measurement, and Disclosure Concepts.

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Conceptual Framework for Financial Reporting

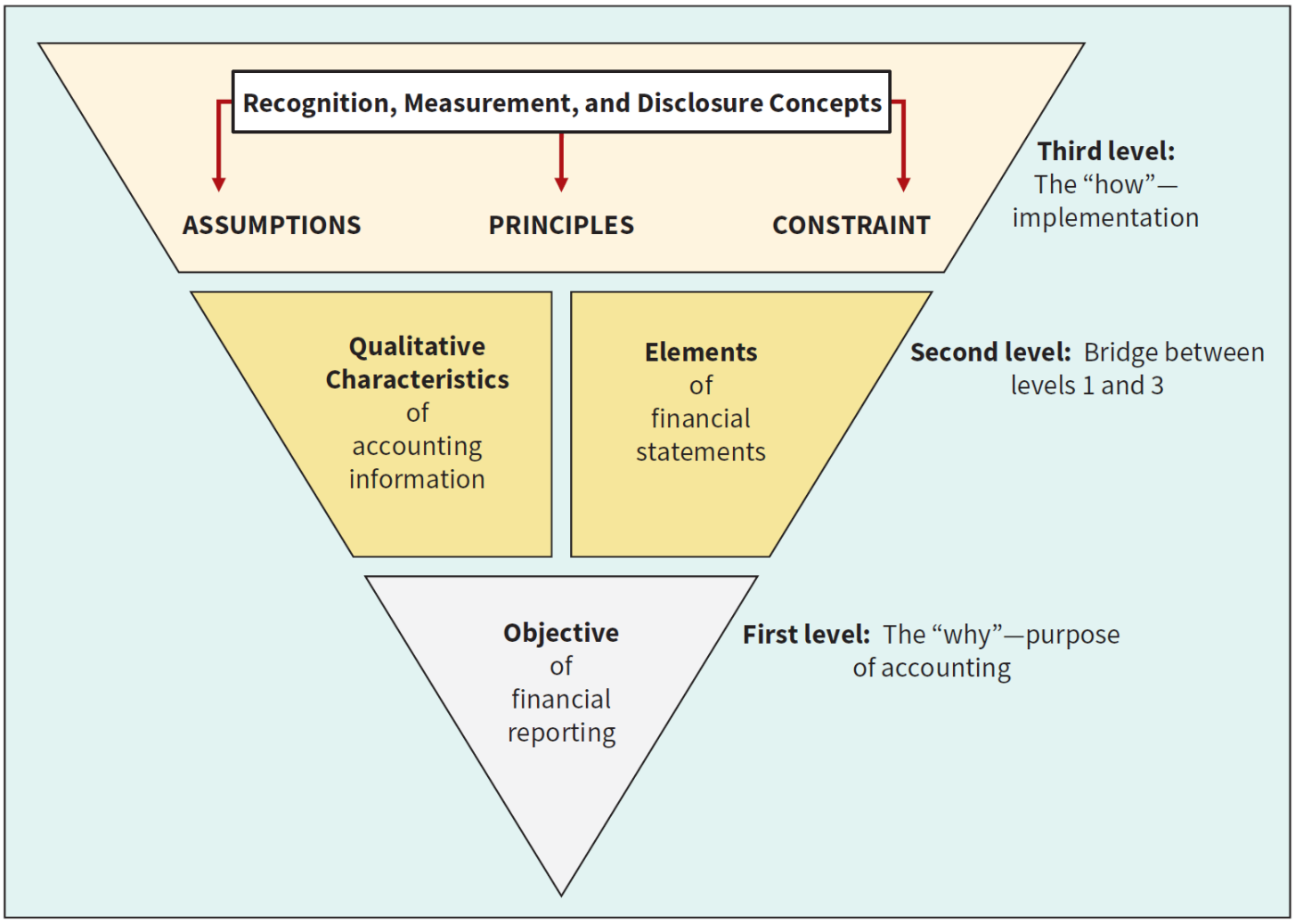


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Objective

To provide financial information about the reporting entity that is **useful to present and potential equity investors, lenders, and other creditors** in making decisions about providing resources to the entity.

- Provided by issuing general-purpose financial statements.
- Assumption is that users need reasonable knowledge of business and financial accounting matters to understand the information.

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Qualitative Characteristics of Accounting Information

IASB identified the **Qualitative Characteristics** of accounting information that distinguish better (more useful) information from inferior (less useful) information for decision-making purposes.

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Hierarchy of Accounting Qualities

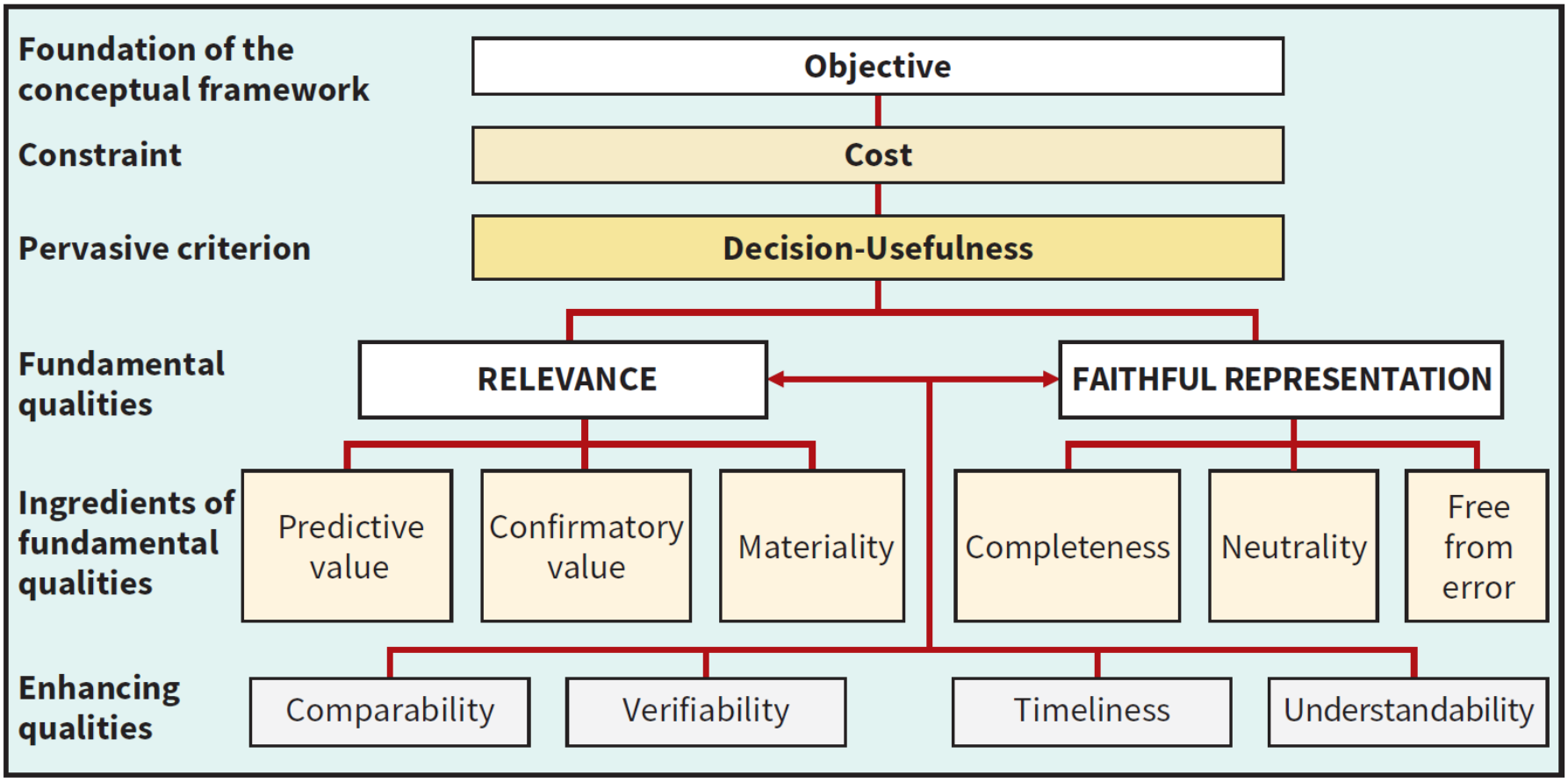
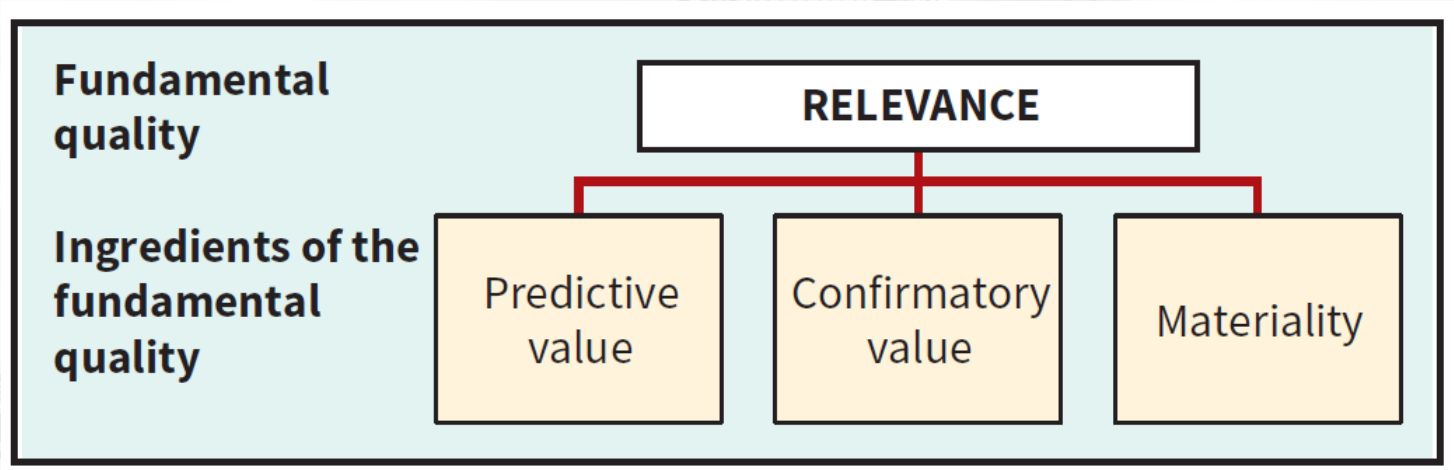


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Fundamental Quality—Relevance



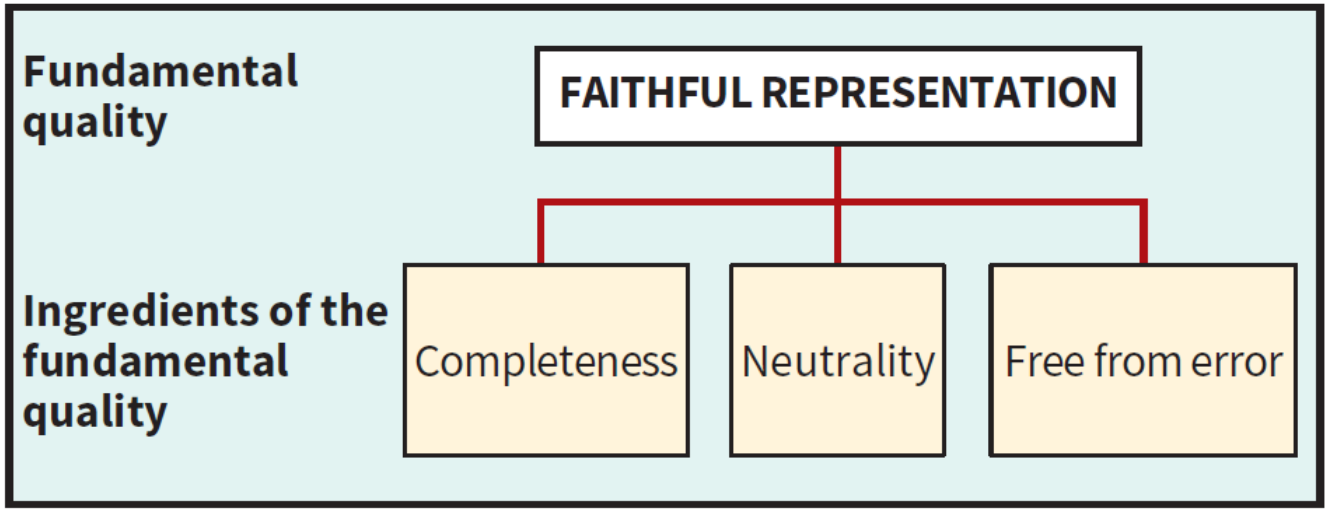
To be **relevant**, accounting information must be capable of **making a difference in a decision**.

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Fundamental Quality—

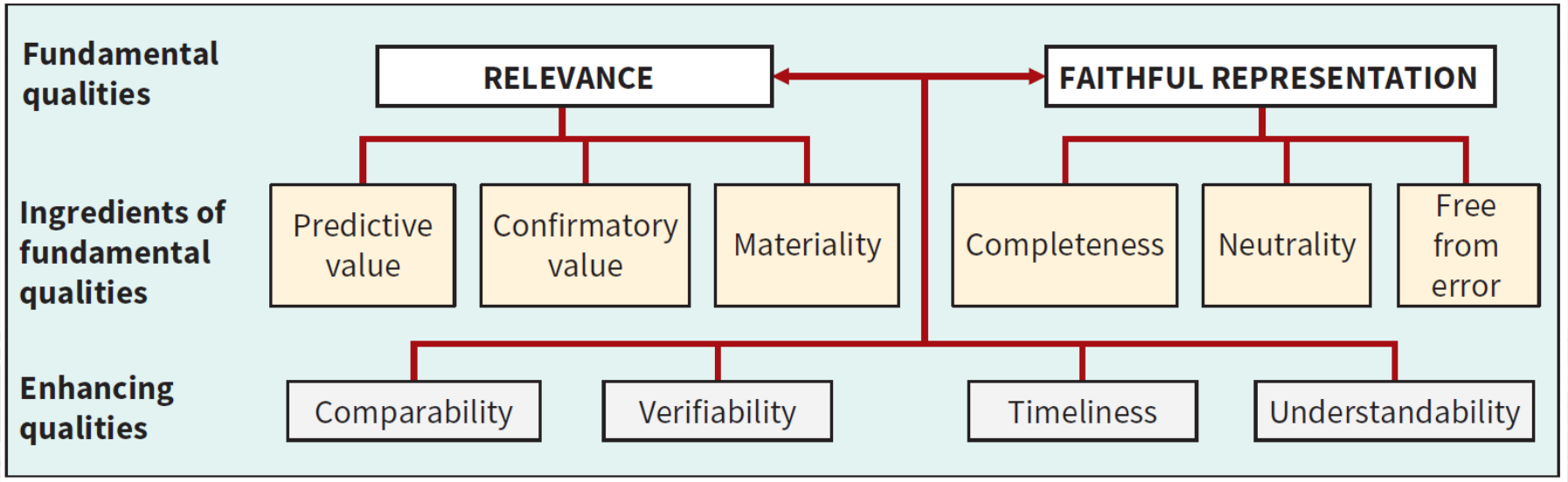
Faithful Representation

Faithful representation means that the numbers and descriptions match what really existed or happened.



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Enhancing Qualities



Enhancing qualitative characteristics are complementary to the fundamental qualitative characteristics.

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Elements

Asset

Asset

Liability

Equity

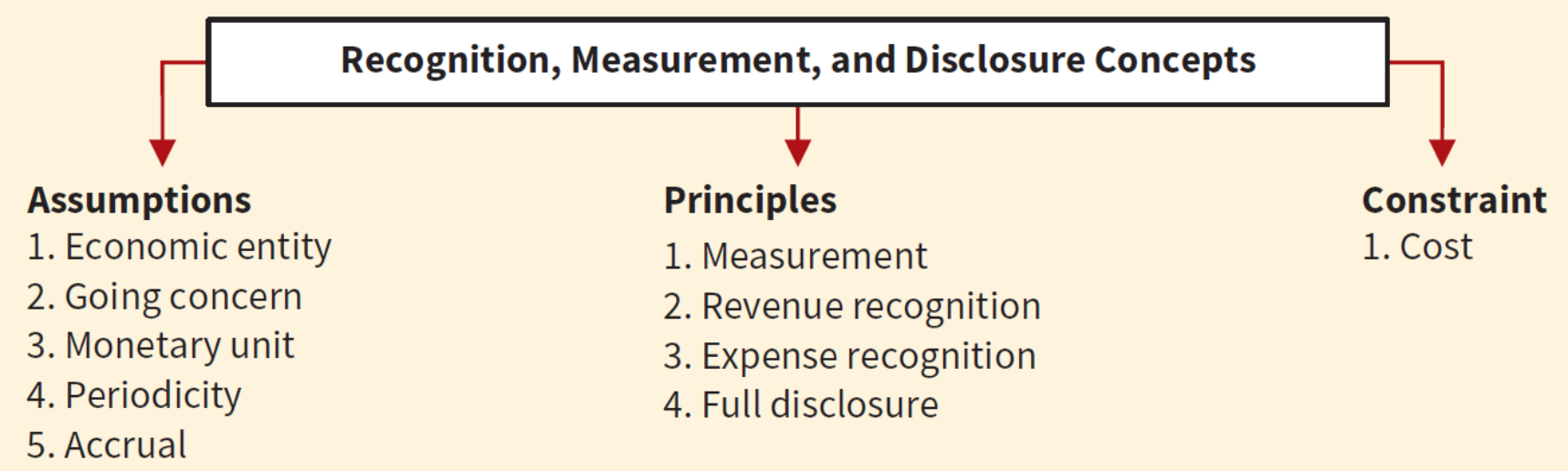
Income

Expenses

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Recognition, Measurement, and Disclosure Concepts

These concepts explain how companies should recognize, measure, and report financial elements and events.



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Assumptions

- **Economic Entity** – company keeps its activity separate from its owners and any other business unit.
- **Going Concern** - company to last long enough to fulfill objectives and commitments.
- **Monetary Unit** - money is the common denominator.
- **Periodicity** - company can divide its economic activities into time periods.
- **Accrual Basis of Accounting** – transactions are recorded in the periods in which the events occur.

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Measurement Principles

- **Historical Cost** is generally thought to be a faithful representation of the amount paid for a given item.
- **Current Value** measures provide monetary information about assets, liabilities, and related income and expenses, using information updated to reflect conditions at the measurement date.
- **Fair value** is defined as "the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date."

IASB has given companies the option to use fair value as the basis for measurement of financial assets and financial liabilities.

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Fair Value Hierarchy

IASB established a **fair value hierarchy** that provides insight into the priority of valuation techniques to use to determine fair value.

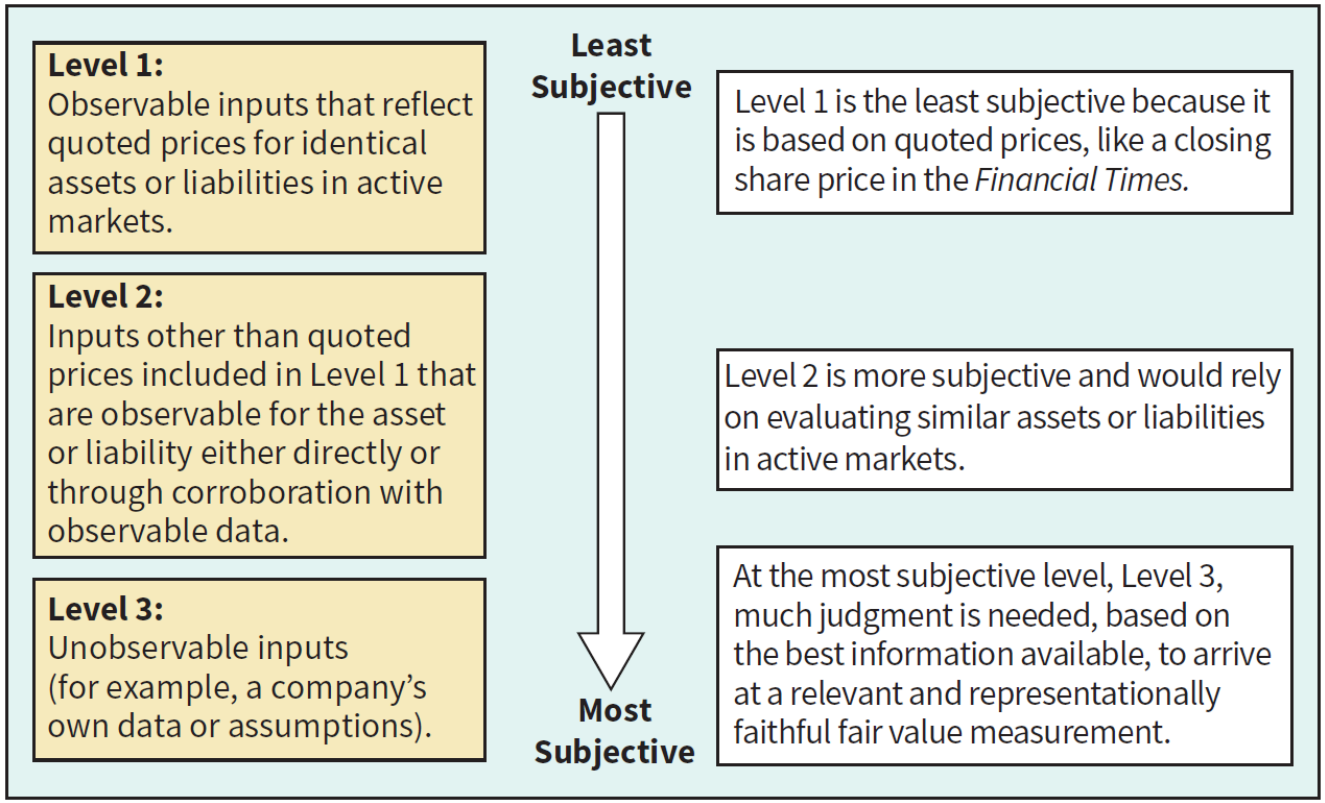


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Revenue Recognition Principle

- **Value in Use/Fulfillment Value** is the present value of the cash flows, or other economic benefits that a company expects to derive **from the use of an asset** and from its ultimate disposal. **Fulfillment value** is the present value of the cash, or other economic resources that a company expects to be **obliged to transfer as it fulfills a liability**.
- **Current Cost** of an asset is the cost of an equivalent asset at the measurement date, comprising the consideration that would be paid at the measurement date plus the transaction costs that would be incurred at that date.

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The Five Steps of Revenue Recognition

Illustration: Assume the **Airbus** (DEU) signs a contract to sell airplanes to **British Airways** (GRB) for €100 million. To determine when to **recognize revenue**, Airbus uses the five steps for revenue recognition shown at right.

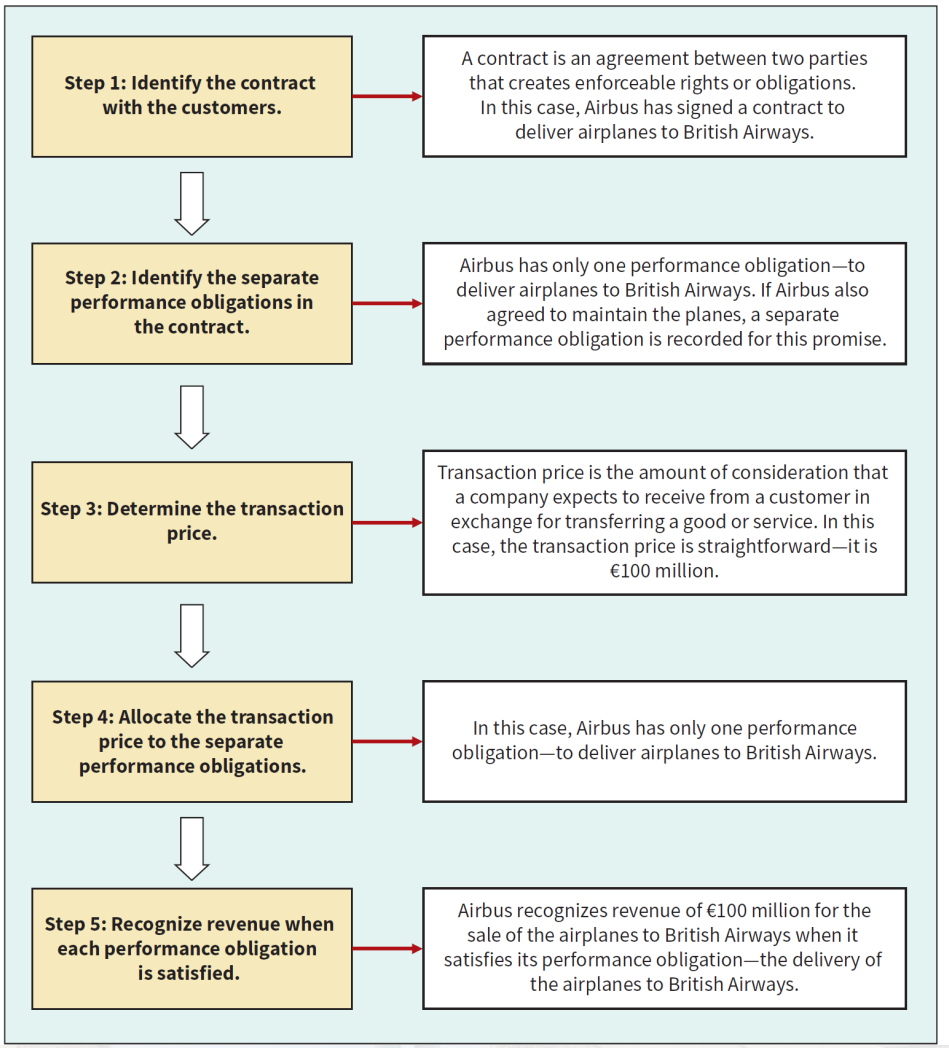


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Expense Recognition Principle

- Outflows or "using up" of assets or incurring of liabilities during a period as a result of delivering or producing goods and/or rendering services.

Type of Cost	Relationship	Recognition
Product costs: • Material • Labor • Overhead	Direct relationship between cost and revenue.	Recognize in period of revenue (matching).
Period costs: • Salaries • Administrative costs	No direct relationship between cost and revenue.	Expense as incurred.

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Full Disclosure Principle

Providing information that is of sufficient importance to influence the judgment and decisions of an informed user.

Provided through:

- Financial Statements
- Notes to the Financial Statements
- Supplementary information

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Cost Constraint

Companies must weigh the costs of providing the information against the benefits that can be derived from using it.

- Rule-making bodies and governmental agencies use cost-benefit analysis before making final their informational requirements.
- In order to justify requiring a particular measurement or disclosure, the **benefits** perceived to be derived from it **must exceed** the **costs** perceived to be associated with it.

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Summary of the Structure

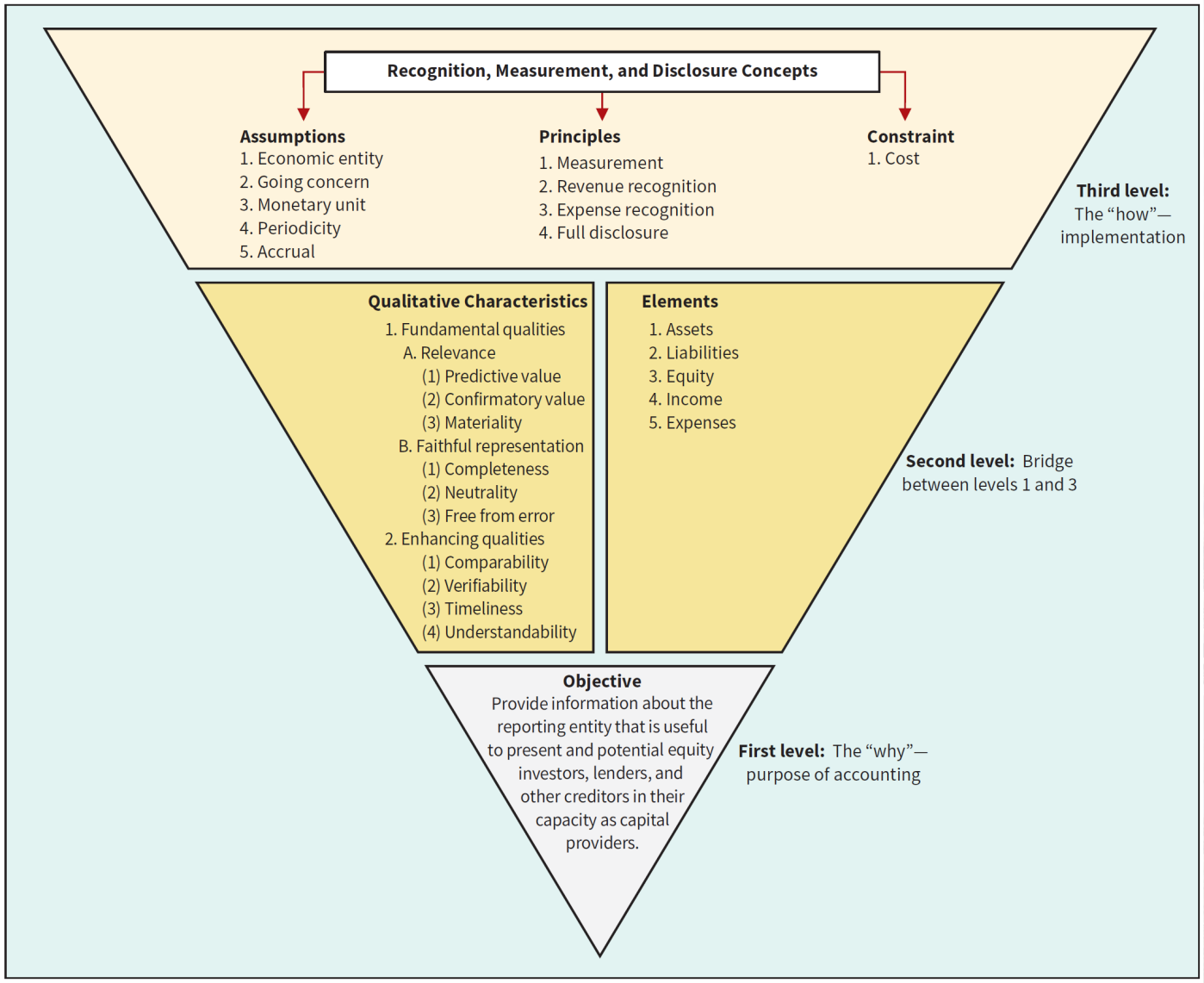


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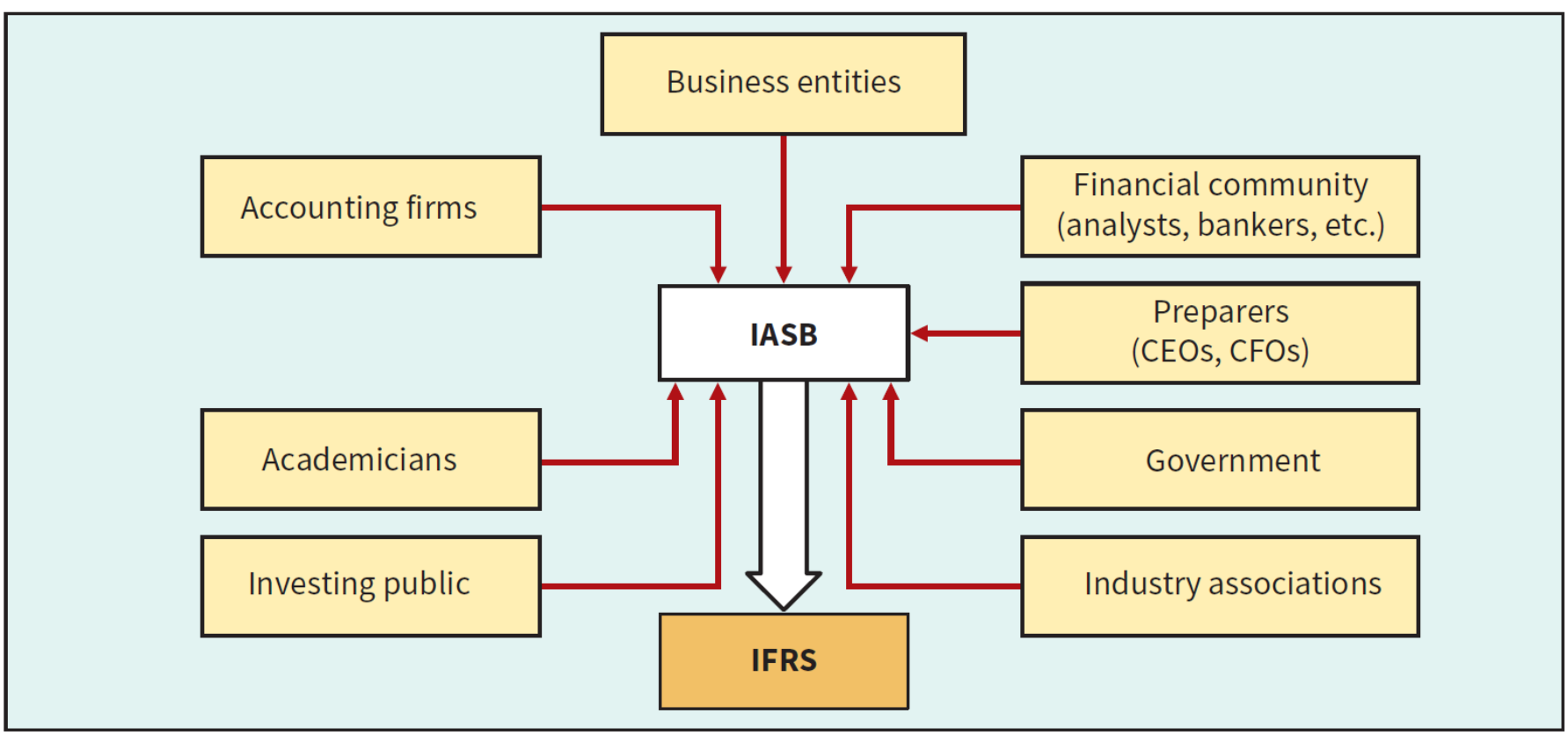
IFRS in a Political Environment

- Considering the economic consequences of many accounting rules, special interest groups are expected to vocalize their reactions to proposed rules.
- The Board should not issue standards that are primarily politically motivated.
- While paying attention to its constituencies, the Board should base IFRS on sound research and a conceptual framework that has its foundation in economic reality.

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IFRS in a Political Environment

User Groups that Influence the Formulation of Accounting Standards



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Financial Reporting Challenges (1 of 3)

The Expectations Gap

What the public thinks accountants should do and what accountants think they can do.

Significant Financial Reporting Issues

- Non-financial measurements
- Forward-looking information
- Soft assets
- Timeliness
- Understandability

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Financial Reporting Challenges (2 of 3)

Ethics in the Environment of Financial Accounting

- Companies that concentrate on "maximizing the bottom line," "facing the challenges of competition," and "stressing short-term results" place accountants in an environment of conflict and pressure.
- IFRS do not always provide an answer.
- Technical competence is not enough when encountering ethical decisions.

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Financial Reporting Challenges (3 of 3)

International Convergence

Examples of how convergence is occurring:

1. China's goal is to eliminate differences between its standards and IFRS.
2. Japan now permits the use of IFRS for domestic companies.
3. The IASB and the FASB have spent the last 23 years working to converge their standards.
4. Malaysia helped amend the accounting for agricultural assets.
5. Italy provided advice and counsel on the accounting for business combinations under common control.

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Cash-Basis Accounting Versus Accrual-Basis Accounting

Most companies use **accrual-basis accounting**. They

- recognize revenue when the performance obligation is satisfied and
- expenses in the period incurred, without regard to the time of receipt or payment of cash.

Under the **strict cash-basis**, companies

- record revenue only when they receive cash, and
- record expenses only when they disperse cash.

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Service Revenue Computation

To convert the amount of cash received from patients to service revenue on an accrual basis, we must consider changes in accounts receivable and unearned service revenue during the year.

Cash Receipts from Customers { **– Beginning Accounts Receivable** / **+ Ending Accounts Receivable** } **= Revenue on an Accrual Basis**

Cash Receipts from Customers { **+ Beginning Unearned Service Revenue** / **– Ending Unearned Service Revenue** } **= Revenue on an Accrual Basis**

Cash receipts from customers		₺300,000
– Beginning accounts receivable	₺(12,000)	
+ Ending accounts receivable	9,000	
+ Beginning unearned service revenue	–0–	
– Ending unearned service revenue	(4,000)	(7,000)
Service revenue (accrual)		₺293,000

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Operating Expense Computation

To convert cash paid for operating expenses during the year to operating expenses on an accrual basis, we must consider changes in prepaid expenses and accrued liabilities.

Cash Paid for Operating Expenses	**+ Beginning Prepaid Expenses** **– Ending Prepaid Expenses**	**=**	**Expenses on an Accrual Basis**

Cash Paid for Operating Expenses	**– Beginning Accrued Liabilities** **+ Ending Accrued Liabilities**	**=**	**Expenses on an Accrual Basis**

Cash paid for operating expenses		₺170,000
+ Beginning prepaid expenses	₺ 1,800	
– Ending prepaid expenses	(2,700)	
– Beginning accrued liabilities	(2,000)	
+ Ending accrued liabilities	5,500	2,600
Operating expenses (accrual)		₺172,600

ILLUSTRATION 1A.7

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Conversion Worksheet

A	B	C	D	E
Dr. L. Liwan Conversion of Income Statement Data from Cash Basis to Accrual Basis For the Year 2026				
	Cash	Adjustments		Accrual
Account Titles	Basis	Add	Deduct	Basis
Collections from customers	₺300,000			
– Accounts receivable, Jan. 1			₺12,000	
+ Accounts receivable, Dec. 31		₺9,000		
+ Unearned service revenue, Jan. 1		—	—	
– Unearned service revenue, Dec. 31			4,000	
Service revenue				₺293,000
Disbursement for expenses	170,000			
+ Prepaid expenses, Jan. 1		1,800		
– Prepaid expenses, Dec. 31			2,700	
– Accrued liabilities, Jan. 1			2,000	
+ Accrued liabilities, Dec. 31		5,500		
Operating expenses				172,600
Excess of cash collections over disbursements—cash basis	₺130,000			
Net income—accrual basis				₺120,400

ILLUSTRATION 1A.8

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Theoretical Weakness of the Cash Basis

- Today's economy is considerably more lubricated by credit than by cash.
- The accrual basis, not the cash basis, recognizes all aspects of the credit phenomenon.
- Investors, creditors, and other decision makers seek timely information about a company's *future* cash flows.

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Using Reversing Entries for Accruals

A company most often uses reversing entries to reverse two types of adjusting entries:

1. accrued revenues and
2. accrued expenses.

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Comparison of Entries for Accruals, With and Without Reversing Entries

Reversing Entries Not Used				Reversing Entries Used			
			Initial Salary Entry				
Oct. 24	Salaries and Wages Expense	4,000		Oct. 24	Salaries and Wages Expense	4,000	
	Cash		4,000		Cash		4,000
			Adjusting Entry				
Oct. 31	Salaries and Wages Expense	1,200		Oct. 31	Salaries and Wages Expense	1,200	
	Salaries and Wages Payable		1,200		Salaries and Wages Payable		1,200
			Closing Entry				
Oct. 31	Income Summary	5,200		Oct. 31	Income Summary	5,200	
	Salaries and Wages Expense		5,200		Salaries and Wages Expense		5,200
			Reversing Entry				
Nov. 1	No entry is made.			Nov. 1	Salaries and Wages Payable	1,200	
					Salaries and Wages Expense		1,200
			Subsequent Salary Entry				
Nov. 8	Salaries and Wages Payable	1,200		Nov. 8	Salaries and Wages Expense	2,500	
	Salaries and Wages Expense	1,300			Cash		2,500
	Cash		2,500				

ILLUSTRATION 1B.1

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Using Reversing Entries for Deferrals

Up to this point, we assumed the recording of all deferrals as prepaid expense or unearned revenue. In some cases, though, a company records deferrals directly in expense or revenue accounts. When this occurs, a company may also reverse deferrals.

To illustrate the use of reversing entries for prepaid expenses, we use the following transaction and adjustment data.

1. December 10 (initial entry): Purchased ₺20,000 of supplies with cash.
2. December 31 (adjusting entry): Determined that ₺5,000 of supplies are on hand.

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Comparison of Entries for Deferrals, With and Without Reversing Entries

Reversing Entries Not Used				Reversing Entries Used			
Initial Purchase of Supplies Entry							
Dec. 10	Supplies	20,000		Dec. 10	Supplies Expense	20,000	
	Cash		20,000		Cash		20,000
Adjusting Entry							
Dec. 31	Supplies Expense	15,000		Dec. 31	Supplies	5,000	
	Supplies		15,000		Supplies Expense		5,000
Closing Entry							
Dec. 31	Income Summary	15,000		Dec. 31	Income Summary	15,000	
	Supplies Expense		15,000		Supplies Expense		15,000
Reversing Entry							
Jan. 1	No entry			Jan. 1	Supplies Expense	5,000	
					Supplies		5,000

ILLUSTRATION 1B.2

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Summary of Reversing Entries

1. All accruals should be reversed.
2. All deferrals for which a company debited or credited the original cash transaction to an expense or revenue account should be reversed.
3. Adjusting entries for depreciation and bad debts are not reversed.

Reversing entries do not have to be used.

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